

INTERIM FINANCIAL STATEMENTS

ASIA ASSET FINANCE PLC



ASIA ASSET
FINANCE PLC

The unconventional finance company

For the quarter ended 30th June 2020

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ASIA ASSET FINANCE PLC
STATEMENT OF COMPREHENSIVE INCOME
FOR THE QUARTER ENDED 30TH JUNE, 2020

	For the quarter ended		
	30.06.2020	30.06.2019	Change
	LKR	LKR	
	Unaudited*	Unaudited*	%
Interest Income	677,167,628	747,560,964	-9.4%
Interest Expenses	(407,421,842)	(413,147,725)	-1.4%
Net Interest Income	269,745,786	334,413,239	-19.3%
Net Trading Gain/(Loss) on Equity Securities	-	(0)	100.00%
Other Operating Income	20,229,664	50,642,034	-60.1%
Less: Operating Expenses			
Personnel Costs	(57,682,085)	(72,292,744)	-20.2%
Provision for Staff Retirement Benefits	(2,100,000)	(2,288,415)	-8.2%
General and Administration Expenses	(149,419,792)	(187,021,480)	-20.1%
Impairment Charge for Lease Rentals Receivable, Hire Purchase and Loans and Advances	(87,705,268)	(82,658,334)	6.1%
Operating Profit before Value Added Tax on Financial Services	(6,931,695)	40,794,301	-117%
Value Added Tax on Financial Services	(10,000,000)	(12,980,000)	-23%
Profit Before Taxation	(16,931,695)	27,814,301	-161%
Income Tax (Expenses) / Reversal	-	(2,800,000)	-100%
Profit for the Period	(16,931,695)	25,014,301	-168%
Actuarial Loss on Retirement Benefit Liability	-	-	-
Income Tax on Components of Other Comprehensive Income	-	-	-
Other Comprehensive Income for the Period Net of Tax	-	-	-
Total Comprehensive Income for the Period	(16,931,695)	25,014,301	-168%
Earnings Per Share - Basic	(0.14)	0.85	-116%

* The above figures are provisional and subject to audit.

* Figures in brackets indicate deductions.

	30.06.2020 LKR Unaudited*	31.03.2020 LKR Audited*	Change %
ASSETS			
Cash and Cash Equivalents	621,191,641	511,939,133	21.3%
Investment in Reverse Repurchase Agreements Against Treasury Bills and Bonds	729,884,714	860,630,696	-15.2%
Loans and Advances	8,510,867,688	8,913,047,649	-4.5%
Lease Rentals Receivable and Hire Purchase	3,687,524,248	3,726,488,702	-1.0%
Other Assets	17,024,632	16,983,813	0.2%
Income Tax Receivable	27,698,764	27,736,580	-0.1%
Vehicle Stock	(0)	(0)	0.0%
Advances, Deposits and Prepayments	139,464,145	156,189,223	-10.7%
Financial Assets - Available for Sale	506,659	506,659	0.0%
Right-of-use assets	128,388,167	137,210,457	-6.4%
Property, Plant and Equipment	129,428,258	138,032,482	-6.2%
Investment Property	399,713,108	399,678,109	0.0%
Deferred Tax Assets	225,922,647	225,922,647	0.0%
Intangible Assets	38,606,076	40,220,339	-4.0%
Total Assets	14,656,220,749	15,154,586,490	-3.3%
LIABILITIES			
Due to Banks	63,066,239	58,777,776	7.3%
Other Liabilities	27,169,168	96,622,133	-71.9%
Other Borrowed Funds	5,519,161,383	6,086,325,326	-9.3%
Lease liability	125,015,545	126,200,873	-0.9%
Due to Customers	6,735,214,431	6,585,234,705	2.3%
Retirement Benefit Liability	32,072,864	29,972,864	7.0%
Total Liabilities	12,501,699,631	12,983,133,677	-3.7%
SHAREHOLDERS' FUNDS			
Stated Capital	1,791,478,691	1,791,478,691	0.0%
Retained Earnings	286,276,074	303,207,769	-5.6%
Statutory Reserve Fund and Other Reserves	76,766,353	76,766,353	0.0%
Total Equity	2,154,521,118	2,171,452,813	-0.8%
Total Equity and Liabilities	14,656,220,749	15,154,586,490	-3.3%
Net Assets Per Share	17.35	17.50	-0.9%

* Figures in brackets indicate deductions.

I certify that the above Interim Financial Statements are in compliance with the requirements of the Companies Act No. 7 of 2007 and give a true and fair view of the state of affairs of Asia Asset Finance PLC as at 30th June 2020 and its profit for the Period ended 30th June 2020.

.....sgd.....

Geethika Elwalage

Assistant General Manager - Finance

The Board of Directors is responsible for the preparation and presentation of these Interim Financial Statements.

.....sgd.....

R.J.A. Gunawardena

Director/CEO

.....sgd.....

Mr.Thusitha Perera

Director

20th July 2020

Colombo

* The above figures are provisional and subject to audit.

	Stated Capital Rs.	General Reserve Rs.	Statutory Reserve Fund Rs.	Accumulated Profit/(Loss) Rs.	Total Rs.
Balance as at 1st April, 2019 (Audited)	1,640,493,541	3,000,000	70,387,374	239,007,167	1,952,888,082
Total comprehensive income for the Three Months					
Profit for the Three months Ended 30th June 2019	-	-	-	25,014,301	25,014,301
Other comprehensive income (net of tax)				-	-
Transaction with equity holders recognized directly in equity					
Proceeds from right issue of ordinary shares	150,985,146				150,985,146
Transferred to/from reserves During the Period	-	-	1,122,534	(1,122,534)	-
	150,985,146	-	1,122,534	(1,122,534)	150,985,146
Balance as at 30th June, 2019 (Unaudited)	1,791,478,687	3,000,000	71,509,908	262,898,934	2,128,887,529
Balance as at 1st April, 2020 (Audited*)	1,791,478,691	3,000,000	73,766,353	303,207,769	2,171,452,813
Profit for the Three months Ended 30th June 2020	-	-	-	(16,931,695)	(16,931,695)
Other comprehensive income (net of tax)		-		-	-
Total comprehensive income for the year					
Transaction with equity holders recognized directly in equity					
Proceeds from right issue of ordinary shares	-				-
Transferred to/from reserves During the Period			-	-	-
Balance as at 30th June, 2020 (Unaudited*)	1,791,478,691	3,000,000	73,766,353	286,276,074	2,154,521,118

* The above figures are provisional and subject to audit.

* Figures in brackets indicate deductions.

	30.06.2020 Rs. Unaudited*	31.03.2020 Rs. Audited*
Cash Flows From / (Used in) Operating Activities		
Profit Before Tax	(16,931,695)	93,316,292
Adjustments for		
Depreciation and amortization	14,784,555	51,791,363
Depreciation for Lease Buildings	8,822,290	29,177,605
Lease Interest expense	4,556,349	17,234,710
Impairment of lease hire purchase, loans and advances	87,705,268	381,645,114
Early termination of loans, leases and hire purchase	-	(51,580,552)
Non-cash items included in profit before tax (WHT and Notional tax)	37,816	(1,264,129)
Net Interest Margin Adjustment	-	31,765,157
Interest income on commercial papers	-	(6,170,584)
Profit on sale of vehicle stock	-	1,133,738
Interest income on Unit Trust	-	(3,493,043)
Profit on sale of held for trading securities	-	125
Gain/loss on fair valuation of held for trading securities	-	-
Gains from sale of property, plant and equipment, investment property and real estate inv	-	(182,714)
Provision for retirement benefit liability	2,100,000	7,041,239
Interest expense on other borrowings	203,661,897	897,277,265
Profit from Operation Before Working Capital Changes	304,736,479	1,447,691,588
	-	
(Increase)/Decrease in Lease Rentals Receivable and Hire Purchase	130,101,050	279,318,715
Increase in Loans and Advances	223,338,091	(1,724,658,389)
(Increase)/Decrease in Other Receivables	-	(472,010)
(Increase)/Decrease in Deposits and Prepayments	16,684,259	(31,671,976)
(Increase)/Decrease in Other Financial Assets	-	-
Increase in Deposits from Customers	149,979,726	(32,110,250)
Increase/(Decrease) in Other Liabilities	(69,452,965)	(120,541,238)
Net Cash From/(Used in) Operating Activities before Income Tax Payments	755,386,641	(182,443,561)
Taxes Paid	-	(22,740,148)
Gratuity Paid	-	(1,232,500)
Rent paid	(5,741,677)	(42,557,697)
Net Cash From Operating Activities	749,644,964	(248,973,906)
Cash Flows from / (Used in) Investing Activities		
Acquisition of Property, Plant and Equipment & Intangible Assets	(3,926,963)	(27,787,206)
Acquisition of intangible assets	(639,106)	(17,178,378)
Acquisition and proceeds from sale of Investment Property	(35,000)	(5,859,596)
Proceeds from sale of investment property	-	-
Acquisition and proceeds of Vehicle Stock	-	17,779,831
Proceeds from sale of vehicle stock	-	-
Proceeds from commercial papers	-	286,170,583
Investments in commercial papers	-	(280,000,000)
Investments in Unit Trust	-	(250,000,000)
Proceeds from Unit Trust	-	253,493,043
Proceeds from sales of held for trading securities	-	-
Proceeds from sales of property, plant and equipment	-	602,054
Net Cash Flows From/(Used in) Investing Activities	(4,601,070)	(22,779,669)
Cash Flows from / (Used in) Financing Activities		
Repayment of Other Borrowed Funds	(1,366,825,833)	(4,421,488,570)
Proceeds from Other Borrowed Funds	596,000,000	4,651,801,017
Dividends paid	-	-
Proceeds from Rigt issue	-	150,985,150
Net Cash Flows From/(Used in) Financing Activities	(770,825,833)	381,297,597
Net Increase in Cash and Cash Equivalents	(25,781,939)	109,544,022
Cash and Cash Equivalents at the Beginning of the Period	1,313,792,053	1,204,248,031
Cash and Cash Equivalents at the End of the Period	1,288,010,115	1,313,792,053
At the End of the Period		
Cash and Cash Equivalents	621,191,640	511,939,133
Investment in Reverse Repurchase Agreements Against Treasury Bills and Bonds	729,884,714	860,630,696
Bank Overdraft	(63,066,239)	(58,777,776)
	1,288,010,115	1,313,792,053

* The above figures are provisional and subject to audit.

	Finance Lease		Hire Purchase		Loans and Advances		Investment		Gold Loan		Other		Total	
	30.06.2020	30.06.2019	30.06.2020	30.06.2019	30.06.2020	30.06.2019	30.06.2020	30.06.2019	30.06.2020	30.06.2019	30.06.2020	30.06.2019	30.06.2020	30.06.2019
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Interest Income	239,791,154	311,304,196	-	17,967	210,878,265	260,489,942	15,962,464	26,077,643	210,535,745	149,671,216	-	-	677,167,627	747,560,964
Other Income	2,101,493	19,953,873	-	-	1,591,213	4,684,848	-	2,011	16,397,072	24,347,985	139,886	1,653,317	20,229,664	50,642,034
Total Revenue	241,892,647	331,258,069	-	17,967	212,469,478	265,174,790	15,962,464	26,079,654	226,932,817	174,019,201	139,886	1,653,317	697,397,291	798,202,998
Segmental Result	(2,404,262.50)	16,929,830.22	-	918.25	(2,111,814)	13,552,467.38	(158,657)	1,332,870.52	(2,255,571)	8,893,717.03	(1,390)	84,497.19	(6,931,695)	40,794,301
Value Added Tax on Financial Services													(10,000,000)	(12,980,000)
Profits from Operations													(16,931,695)	27,814,301
Income Tax Charge/Reversal for the Period													-	(2,800,000)
Net profit for the Period													(16,931,695)	25,014,301
Segment Assets	3,671,721,459	4,294,667,739	14,648,192	15,919,722	4,502,549,672	4,723,526,422	729,884,714	806,571,195	4,009,472,613	2,777,723,065	-	-	12,928,276,650	12,618,408,142
Unallocated Assets	-	-	-	-	-	-	-	-	-	-	1,727,944,098	1,747,681,281	1,727,944,098	1,747,681,281
Total Assets	3,671,721,459	4,294,667,739	14,648,192	15,919,722	4,502,549,672	4,723,526,422	729,884,714	806,571,195	4,009,472,613	2,777,723,065	1,727,944,098	1,747,681,281	14,656,220,749	14,366,089,424
Segment Liabilities	3,533,745,433	4,110,374,907	14,097,742	15,236,575	4,333,352,766	4,520,830,401	702,457,091	771,959,603	3,858,804,567	2,658,525,381	-	-	12,442,457,598	12,076,926,867
Unallocated Liabilities	-	-	-	-	-	-	-	-	-	-	59,242,032	160,275,029	59,242,032	160,275,029
Total Liabilities	3,533,745,433	1,079,119,247	14,097,742	193,992,606	4,333,352,766	5,021,208,016	702,457,091	877,565,856	3,858,804,567	970,879,520	59,242,032	62,185,056	12,501,699,631	12,237,201,896

In determining segment results,

Expenses have been allocated proportionately based on interest income

Segment Liabilities have been proportionately allocated based on the segment assets.

01. The Interim Financial Statements are in compliance with the Sri Lanka Accounting Standard - LKAS 34: Interim Financial Reporting and the provisions of the Companies Act No. 7 of 2007 and provide the information as required in terms of Rule 7.4 of the Colombo Stock Exchange.
02. The company has adopted consistent accounting policies and methods of computation as disclosed in the Annual Report for the year ended 31th March 2020.
03. The Interim financial statements of Asia Asset Finance PLC for the period ended 30th June , 2020 (including comparatives) were approved and authorized for issue on 21st July, 2020 in accordance with a resolution of the board of directors on 21st July, 2020.
04. The presentation and classification of the financial statements for previous periods have been amended where relevant for better presentation and to be comparable with those of the current period.
05. Earning per share has been annualised for the quarter ended 30th June, 2020 in the statement of Comprehensive income.
06. Subsequent to Balance sheet date ,no circumstances has arise that would require adjustments to or disclosure in the Financial statements.

07. Stated capital is represented by number of shares in issue as follows.

	30.06.2020	31.03.2020
Issued and Fully Paid Ordinary Shares (Quoted)	124,275,533	124,195,533

08. Market Value of Shares

	30.06.2020	31.03.2020
	Rs.	Rs.
Highest Traded Price	6.90	9.00
Lowest Traded Price	4.80	5.50
Closing Price	5.30	5.50

09. There has been no significant change to the contingent liabilities disclosed in the previous Audited Financial statements.

10. Major 20 share holders as at 30th June 2020

NAME	No of Shares	(%)
1 MUTHOOT FINANCE LIMITED	90,558,778	72.87
2 SEYLAN BANK PLC/SENTHILVERL HOLDINGS (PVT) LTD	7,560,504	6.08
3 J.B. COCOSHELL (PVT) LTD	4,242,950	3.41
4 MR S.D.R. ARUDPRAGASAM	2,460,638	1.98
5 PEOPLE'S LEASING & FINANCE PLC/MR.W.K.R.JAYAKODY	1,501,280	1.21
6 MR P.A.D.R.U. PUSHPAKUMARA	1,469,500	1.18
7 HATTON NATIONAL BANK PLC / SUBRAMANIAM VASUDEVAN	1,000,000	0.80
8 MR K.M.S.M. RAZEEL & MR K.S.M. RAJUBDEEN & MR S.M.R. MOHAMED	740,000	0.60
9 MUTIARA HOLDINGS (PRIVATE) LTD	510,000	0.41
10 MR C.W. GUNASEKARA	500,000	0.40
11 CODE-GEN INTERNATIONAL PVT LTD	424,118	0.34
12 MR P.P. SUBASINGHE	302,623	0.24
13 DFCC BANK PLC/MR.K.S.D.SENAWEEERA	235,000	0.19
14 MERCHANT BANK OF SRILANKA & FINANCE PLC / W.K.R.JAYAKODI	234,928	0.19
15 MRS M. ARUDPRAGASAM	234,262	0.19
16 SAMPATH BANK PLC/MR. ABISHEK SITHAMPALAM	229,389	0.18
17 DFCC BANK PLC/MR.C.R PERERA	200,000	0.16
18 MR U.C. BANDARANAYAKE & MRS L. BANDARANAYAKE	200,000	0.16
19 MR T.S. SALIM	197,495	0.16
20 FAST GAIN INTERNATIONAL LIMITED	159,000	0.13
	112,960,465	90.90
Othres	11,315,068	9.10
Total	124,275,533	100

No of Shareholders	% of Shareholding
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11. Shares held by public as at 30th June 2020

2,242 26.97%

12. Directors Share Holding

Name	No. of Shares 30.06.2020	%
Mr. V.A. Prasanth (Appointed from 11th June 2020)	-	-
Mr.Rajiv James Abeywickrema Gunawardena	-	-
Ms.Dayangani Priyanthi Pieris	60,000	0.048
Mr.R.A.T.P.Perera	-	-
Mr.G.Alexander	-	-
Mr.K.R.Bijimon	-	-
Mr.R.A.B. Basnayake	-	-
Mr.J.P.D.R. Jayasekara	-	-
Mr.K.G.K.Pillai	-	-

10. Utilization of right Issue Fund

Objecti ve No	Objective as per Prospectus /Circular	Opening Date	Branch	Amount allocated as per Prospectus/Circular in LKR	Proposed date of utilization as per Prospectus/Cir	Amount allocated from Proceeds in LKR A	% of total proce eds	Amount utilized in LKR B	% utilization against allocation
1	Approved 10 branches	2018 November -19	Thalawakele	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2018 November -19	Gampola	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2019 January -16	Ragala	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2018 November -24	Nawalapitiya	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2018 December -21	Chunnamakam	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2019 February - 25	Puthukkudiyiruppu	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2019 April -24	Kalmunai	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2019 Decemebr -05	Mullativu	24,000,000.00	19.12.2019	24,000,000.00	6%	24,000,000.00	100%
		2020-December- 09	Matale	24,000,000.00	06.02.2020	24,000,000.00	6%	24,000,000.00	100%
		2020-January -03	Kegalle	24,000,000.00	03.07.2020	24,000,000.00	6%	24,000,000.00	100%
				240,000,000.00		240,000,000.00	60%	240,000,000.00	

2	Approval Pending	2020 January -03	Puttalam	162,543,114	Balance Right proceed are invested with Money Market and Saving accounts of AAF
		2020-January -23	Balangoda		
		2020-February -13	Kalavanchikudy		
		2020-February -26	Akkaraipattu		
		2020-March-15	Badulla		
		2020-January -14	Awissawella		
		2020-April -22	Kothmale		
		2020-March 26	Welimada		
		2020-April 8	Haputhale		
		2020-May -12	Bandarawela		
402,543,114.00					

13 Corporate Information

Name of the Company

Asia Asset Finance PLC

Legal Form

Incorporated as a Private Limited Liability Company under the Companies ordinance, no 51 of 1938 (Cap 145) on 23 September 1970 and name changed under the Companies ordinance, no 51 of 1938 (Cap 145) on 03 October 2006 and Re-registered under the companies Act No.07 of 2007 on 23 January 2008 and converted to a public company under the companies Act No.07 of 2007 on 20 March 2012.

Registration Number (Under the Companies Act No.17 of 1982)

PVS/PBS 3266

New Registration Number (Under the Companies Act No.7 of 2007)

PB 139 PQ

Registered Office

No.76/1, Dharmapala Mawatha, Colombo 03.

Telephone

011 5 66 99 22

Fax

011 2 57 74 77

E-mail

info@asiaassetfinance.lk

Website

<http://www.asiaassetfinance.lk/>

Board of Directors of the Company

Mr. V.A Prasanth (Appointed from 11th June 2020)

Mr.Chandrakumar Ramachandra (Retired on 11th June 2020)

Mr.Rajiv James Abeywicrema Gunawardena

Mrs.Dayangani Priyanthi Pieris

Mr.Thusitha Perera

Mr.George Muthoot Alexander

Mr.Kuttikattu Rajappan Bijimon

Mr.Kiran Gopala Krishna Pillai

Mr.Rajitha Ananda Bandara Basnayake

Mr.Danasiri Rupakumara Jayasekara

Company Secretary

P R Secretarial Services (Pvt) Ltd

59 Gregory Road,

Colombo 07.

Lawyers of the Company

Gunawardane & Ranasinghe Associates

1056 Mardana Road,

Colombo 08.

Company Auditors - External

BDO Partners

65/2, Sir Chiththapalam A Gardiner Mawatha,

Colombo 02.

Bankers of the Company :

Bank of Ceylon

Commercial Bank of Ceylon PLC

DFCC Bank PLC

Hatton National Bank PLC

Pan Asia Banking Corporation PLC

People's Bank

Sampath Bank PLC

National Development Bank PLC

Seylan Bank PLC

Indian Bank

Nation Trust Bank

Audit Committee

Mr.Thusitha Perera

Mr. Danasiri Rupakumara Jayasekara

Mr.Chandrakumar Ramachandra (Retired on 11th June 2020)

Mr.Kiran Gopala Krishna Pillai

Mr.Rajitha Ananda Bandara Basnayake

Integrated Risk Management Committee

Mr.Chandrakumar Ramachandra (Retired on 11th June 2020)

Mr.Thusitha Perera

Mr.Rajiv James Abeywicrema Gunawardena

Mr.Roshan De Silva Gunasekara (COO)

Mr. Danasiri Rupakumara Jayasekara

Mr.Kuttikattu Rajappan Bijimon

Remuneration Committee

Mr.Chandrakumar Ramachandra (Retired on 11th June 2020)

Mr.Thusitha Perera

Mr.George Muthoot Alexander

Mr.Rajitha Ananda Bandara Basnayake

Mr.Danasiri Rupakumara Jayasekara

Related Party Transactions Review Committee

Mr.Danasiri Rupakumara Jayasekara

Mrs.Dayangani Priyanthi Pieris

Mr.Kuttikattu Rajappan Bijimon

Mr.Rajitha Ananda Bandara Basnayake

IT committee

Mr.Rajitha Ananda Bandara Basnayake

Mr.Rajiv James Abeywickrema Gunawardena

Mr.Chandrakumar Ramachandra (Retired on 11th June 2020)

Mrs.Dayangani Priyanthi Pieris

Mr.Danasiri Rupakumara Jayasekara

Credit Committee

Mr.Danasiri Rupakumara Jayasekara

Mr.Rajiv James Abeywicrema Gunawardena

Mr.Chandrakumar Ramachandra (Retired on 11th June 2020)